

Rates Spark: Some calm ahead of the Fed meeting

Oil prices are down but still above US\$100/bbl. Markets still eye higher central bank rates or at least delayed rate cuts. The latter is also the signal we expect from the Fed tonight. Nonetheless, risk sentiment is holding up, and long-end rates have managed to ease lower, with the 10y UST yield below 4.2% and the Bund below 2.9%



With oil prices elevated, the Federal Reserve is likely to keep rates on hold later today and could signal that rate cuts will be delayed

Going into a busy central bank meeting schedule, the oil price remains above US\$100/bbl, keeping short-term inflation expectations elevated. The market discount is for the European Central Bank to still hike one or two times this year.

Nonetheless, the broader market seems to have calmed somewhat with risk sentiment improving. We see that in stock market gains, but within the eurozone also moderately tightening EGB/Bund spreads. Long-end rates are coming down with the 10y Bund yield sliding below 2.90%.

With the outlook clouded, the Fed could signal a delay to rate cuts

First, the focus is on the FOMC meeting tonight, with rising inflation on the back of energy market turmoil seen as constraining the Fed. From the market side, the Fed is getting a feed of higher nominal yields, higher real yields and higher inflation breakevens. That combination is hardly one

that is conducive to rate cuts. In fact, every leg of it argues that a hold makes the most sense. And, for now at least, we will likely see more of the same.

As for the immediate decision at hand, no cut is the clear expectation from markets. The vote split is likely to show at least one dissent towards cutting rates coming from Miran, which would be his fourth since joining the Fed. Beyond March, markets are seeing chances rising for a cut starting in the summer, with a cut fully priced in only by year-end.

One key focus will be the Fed's new forecasts, including the Dot Plot of individual Fed members' effective rate expectations. In December, the Fed pencilled in one rate cut in 2026 with one further 25bp cut in 2027. Our economists suspect the FOMC will trim growth forecasts marginally, push up its inflation forecast and then delay the 2026 rate cut until 2027. That said, given the situation, the Fed will likely have little conviction in its forecasts, and Chair Powell will be certain to underline the challenges in the current volatile environment.

There will likely be some focus on the balance sheet as well, since the monthly US\$40bn pace of reserve management purchases was temporary to begin with and expected to be reduced in April. We think the disappointing impact of the net US\$130bn of balance sheet expansion since mid-December on the Fed Funds effective rate deserves questioning.

Wednesday's events and market view

The main event of the day is the **FOMC meeting** tonight and Chair Powell's press conference. Ahead of the meeting, the data calendar only features final eurozone CPI numbers for February and US producer prices for February as well as final durable goods orders for January.

In primary markets, Germany will auction 20y and 30y Bunds for a total of €2.5bn.

Author

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person

for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.